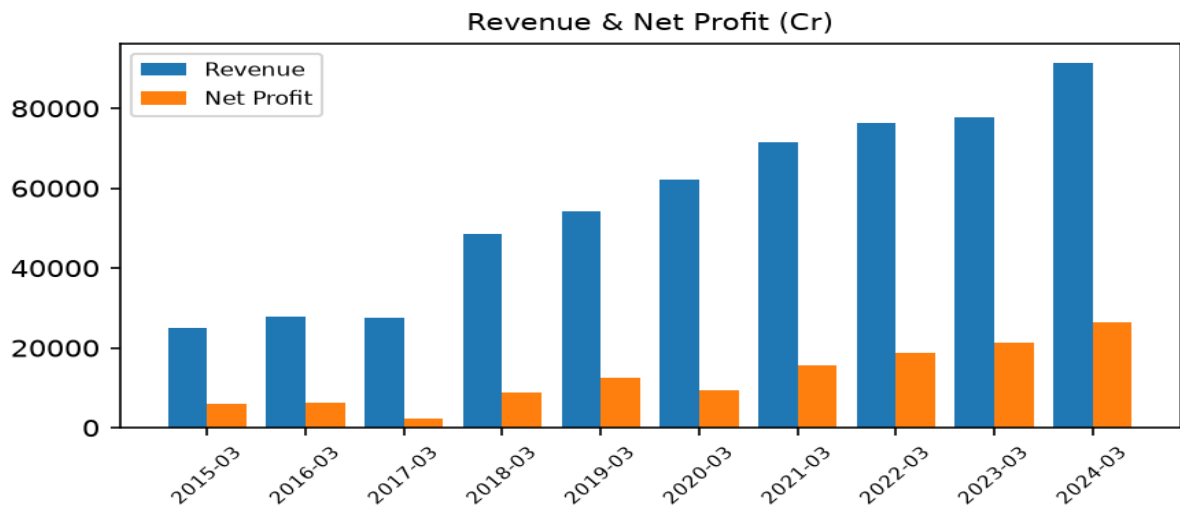


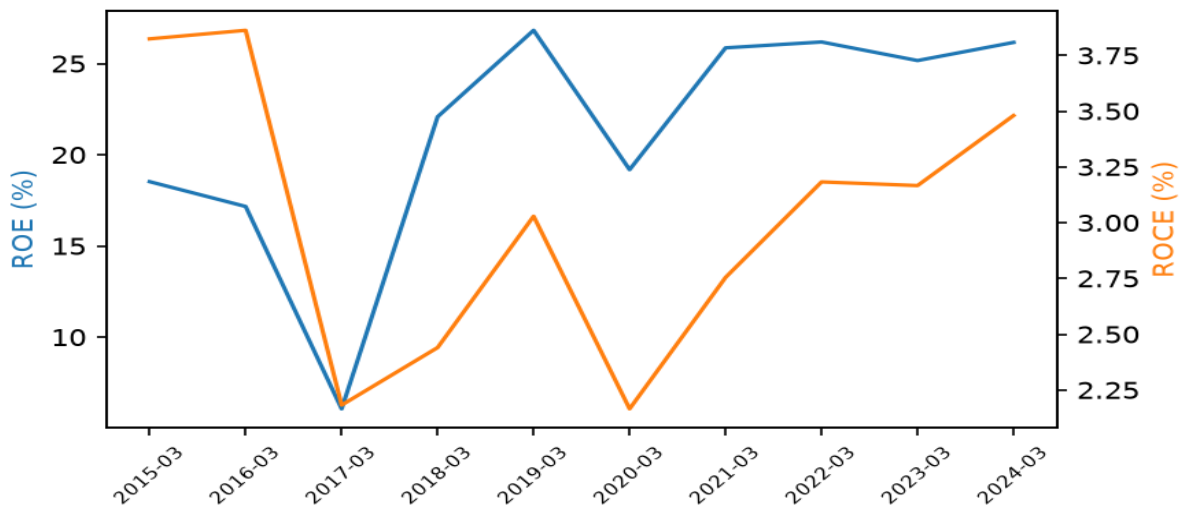
Power Finance Corporation Ltd (PFC)

ROE 26.2%	ROCE 3.5%	Net Profit Margin 28.9%
D/E 8.5	Revenue CAGR 5yr 11.1%	Free Cash Flow (Cr) -101229.0

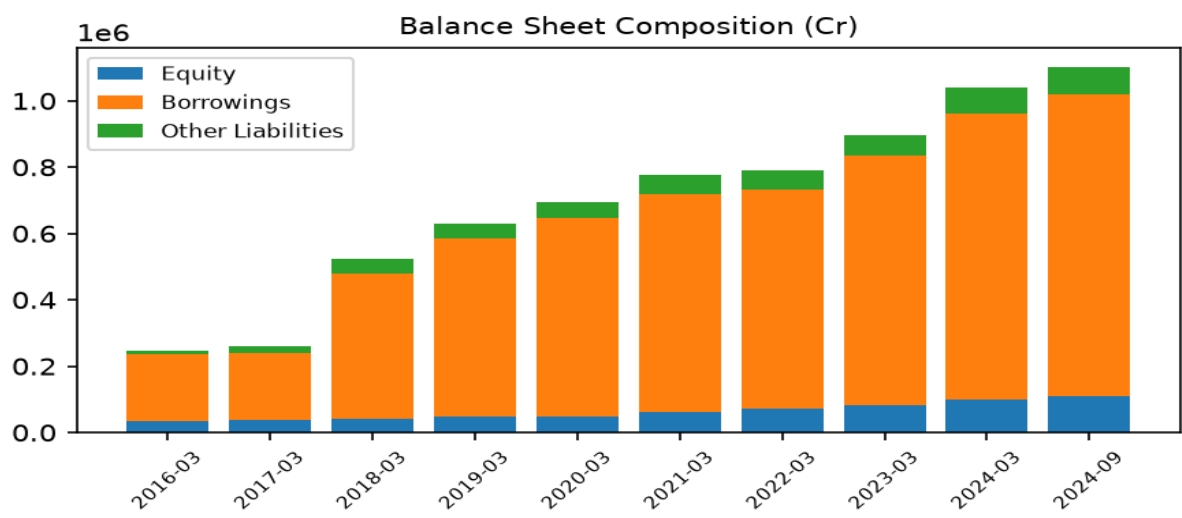
Revenue & Net Profit (10yr)



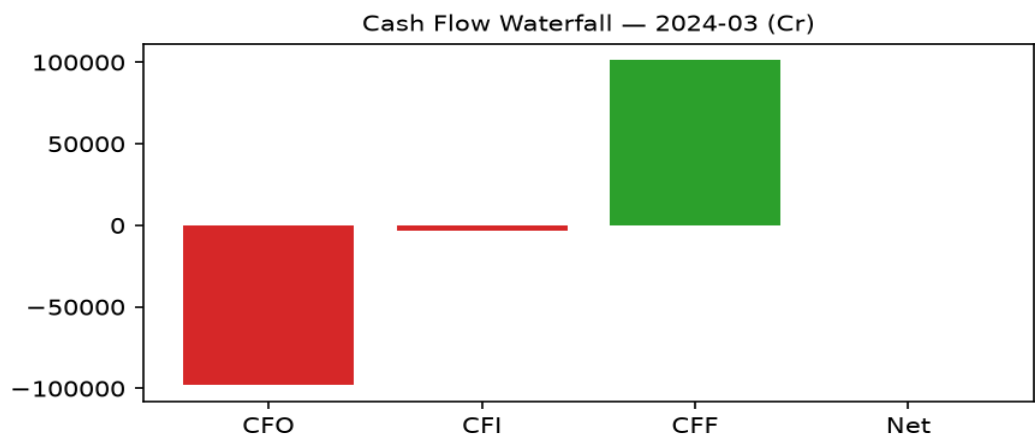
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt